13. The book-keeper of a firm found that the trial balance was out by ₹ 922 (excess credit). He placed the amount in the suspense account and subsequently found the following errors:

(a) The total of discount column on the credit side of the cash book ₹ 78 was not posted in the ledger.

(b) The total of purchases book was short by ₹ 1,000.

(c) A credit sale of goods to Natarajan for ₹ 375 was entered in the sales book as ₹ 735.

(d) A credit sale of goods to Mekala for ₹ 700 was entered in the purchases book.

You are required to give rectification entries and prepare suspense account.

(**Answer**: Total of suspense account: ₹ 1,000)

CASE STUDY

Rameela, a class 11 student, visited one of her relative's furniture shop. She met the accountant of the shop. He was busy with preparing final accounts. At that time, one of the staff approached the accountant with a list of errors found in ledger postings.

Rameela asked the accountant, in a surprised tone, "Is it possible to rectify the errors before preparing the final accounts?"

The accountant replied, "Yes, it is!".

Rameela was curious to analyse the errors. She found the following:

- Furniture sold on credit to Siva and company for ₹ 12,000 was debited to Sam and company.
- Rent paid ₹ 2,500, was debited to rent account as ₹ 250.
- The total of purchase journal was undercast by ₹ 1,000.
- A sales invoice for ₹ 2,000, completely omitted from the books.
- Stationery bought for ₹ 250, was posted to purchases account.

Can you help Rameela to identify and rectify the errors?

To explore further

Is there any possible way to reduce the errors in trial balance?

Reference

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